



Cambridge International Examinations
Cambridge Ordinary Level

ECONOMICS

Paper 1 Multiple Choice

2281/13

October/November 2016

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Done

This document consists of **11** printed pages and **1** blank page.



→ Land, Labour, Capital, Enterprise

1 What is not a factor of production?

- A a \$20 banknote
- B an office
- C a photocopier
- D a secretary

Money, is not a factor of production

factors of production.

→ next best alternative forgone

2 What could be the opportunity cost of a nuclear power station?

- A the running costs of the power station
- B a coal-fired power station
- C the current value of the power station
- D the cost of building the power station

operational cost of the project.

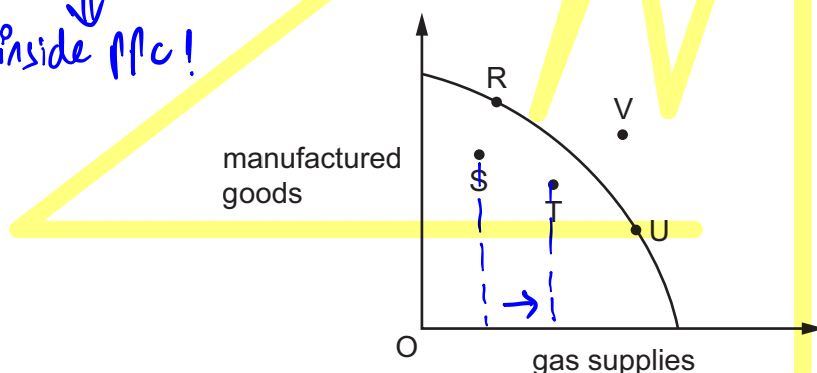
alternative

nothing to do with opportunity cost

3 In 2014 private companies began to drill in areas of the country to exploit natural gas supplies that were known to exist.

inside PPC!

quantity of gas supplies increases.



How might this decision be represented on the diagram which shows a production possibility curve for the country?

- A by a movement from R to S → Efficient to inefficient
- B by a movement from R to V → towards unattainable
- C by a movement from S to T → Quantity of Gas Supplies ↑
- D by a movement from U to V → towards unattainable

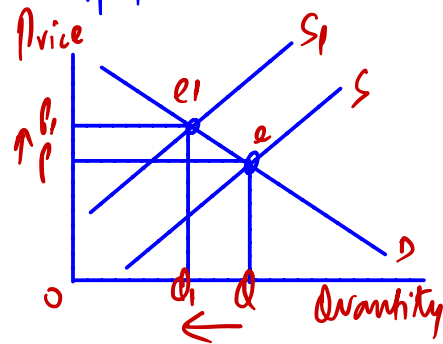
question says 'Known to exist'

$$D=S$$

- 4 The market for a good was in equilibrium. A change occurred which resulted in a new equilibrium with a higher price for the good and a lower quantity traded. Supply ↓

What change would have caused this?

- A the demand curve moved to the left $P \downarrow Q \downarrow$
 B the demand curve moved to the right $P \uparrow Q \uparrow$
 C the supply curve moved to the left
 D the supply curve moved to the right $P \downarrow Q \uparrow$



- 5 The demand for cocoa beans is price-inelastic.

What is most likely to decrease as a result of an increase in demand for cocoa beans?

- A price of cocoa bean products, Demand ↑, shortage, P ↑
 B production of cocoa beans, Demand ↑, signal, output ↑
 C profits of cocoa bean producers, Demand ↑, P ↑, profits ↑
 D unemployment among cocoa bean farmers Demand ↑, output ↑, unemployment ↓

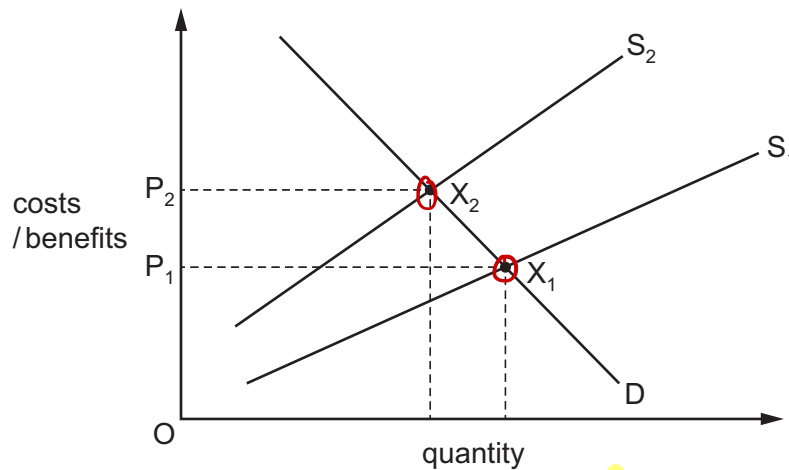
- 6 A government subsidises the production of pineapples. → grant/cash payment

This is likely to

- A increase the price of pineapples. Supply ↑, surplus, P ↓
 B raise the costs of supplying pineapples. Subsidy reduces cost of production
 C raise revenue for the government. Happens in Tax
 D cause the supply of pineapples to increase at every price. Correct, Supply ↑

- 7 The use of cars in many cities creates negative externalities. The diagram shows the free market equilibrium X_1 and the socially efficient market equilibrium X_2 .

ncd removed
by CIE



Using the diagram, which statement is correct?

- A** Socially efficient supply is S and the market price P is too high.
- B** Socially efficient supply is S and the market price P is too low.
- C** Socially efficient supply is S_1 and the market price P is too high.
- D** Socially efficient supply is S_1 and the market price P is too low.
- 8 What could increase the ability of a trade union to gain a pay rise for its members in a coat factory?
- A** a decrease in the demand for coats Demand ↓, less workers required, pay ↓
- B** a decrease in the number of people willing to work in the coat industry Supply ↓, pay ↑
- C** a decrease in the productivity of workers making coats productivity ↓, efficiency ↓, pay ↓
- D** a decrease in the sale of coat exports Demand ↓, same as option A.
- 9 What does net income mean?
- A** income after allowing for price changes
- B** income after paying regular household bills
- C** income less tax and government deductions Formula
- D** income plus overtime payments

Net income = Income - tax - government deductions

- 10 Nazmin Uddin works in a local office as a secretary three days a week. She lives with her parents in a small apartment.

Meer Ali owns a successful fitness centre that employs about twenty people. He owns a large house.

Which is most likely to be correct?

large proportion as she earns less

A Nazmin spends a smaller proportion of her income than Meer.

B Nazmin saves most of her income. *unlikely, due to low income*

C Nazmin would find it easier than Meer to borrow money. *unlikely, meer has a successful business*

☒ D Nazmin has a lower disposable income than Meer.

yes.

- 11 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
2600	2625
2900	2925
3200	3190
3500	3275
3800	3500
4100	3725

Saving

-25

-25

10 (+ve saving)

What is the first level of income shown at which savings are positive?

A \$2600

B \$2900

☒ C \$3200

D \$3500

- 12 A survey of managers in the USA revealed that most businessmen feel that a company's responsibility is 'to serve the interests of owners, employees, customers and the public'.

The idea of profit maximisation, in contrast, implies that a company's main responsibility should be to the

A customers.

B employees.

☒ C owners.

D public.

concept related to owners

1000s of producers, market share is too small to influence price!

13 Why is a firm in perfect competition a price taker?

- A It has no information about market price. *complete information*
- B Its output is too small to have any effect on market equilibrium.
- C There are few barriers to entry. *No barriers*
- D There are only a few firms in the industry. *1000s of firms.*

14 A firm produced 200 cars a week and employed 50 workers. A fall in demand caused the firm to reduce its output to 160 cars a week and its labour force to 32.

What was the percentage change in the firm's productivity?

- A It fell by 20%.
- B It fell by 25%.
- C It increased by 20%.
- D It increased by 25%.

$$\% \Delta = \frac{5-4}{4} \times 100 = 25\%$$

$$\% \Delta = \frac{\text{new} - \text{old}}{\text{old}} \times 100$$

$$\frac{200}{50} = 4 \quad \frac{160}{32} = 5 \quad \left. \vphantom{\frac{200}{50}} \right\} \% \Delta = 25\% \uparrow$$

15 A firm has fixed costs of \$100 for its daily output. The table shows its daily total variable costs.

output (units)	1	2	3	4
total variable costs (\$)	200 + 100	360 + 100	500 + 100	720 + 100
	300	460	600	820

What can be concluded about the firm's average total cost?

- A It falls continuously.
- B It is highest at output 4 units.
- C It is lowest at output 3 units. *correct, at 200*
- D It rises continuously.

$$ATC = \frac{TC}{Q}$$

16 A government decides to sell the monopoly supply of gas to households to a private firm.

How could the government protect the interests of households after selling a large company to the private sector?

- A by excluding all competition from foreign companies *disadvantage to households*
- B by imposing a tax on excess profits *High profits, so high tax, this will discourage them to set abnormal price.*
- C by introducing a quota system for imports of gas
- D by removing price controls on gas *most likely removing maximum price.*

Quantity limit,
benefits firm,
disadvantage to
household

removing price control means
now it will be according to demand
and supply, therefore firm can restrict
supply and raise price.

Tax (part of fiscal policy)

- 17 A government decides to increase the rate of income tax and spend the extra revenue on providing training colleges. *productivity ↑, AS ↑, (Supply side policy)*

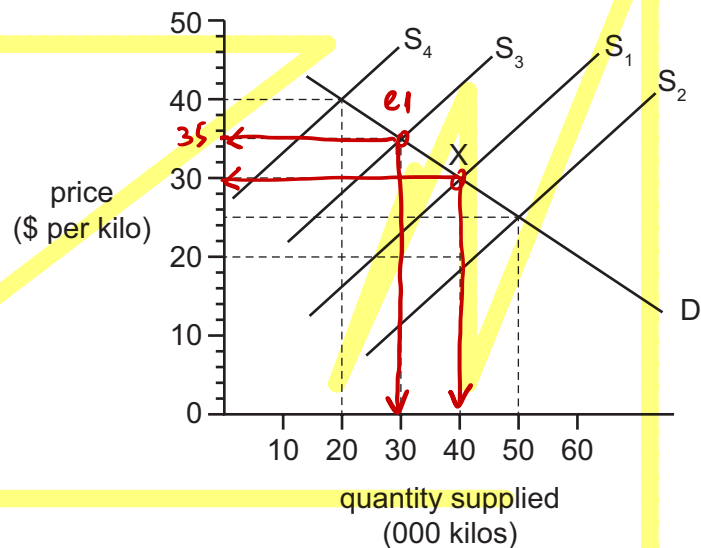
How might this be described?

- A as fiscal and monetary policy
 B as fiscal and supply-side policy
 C as fiscal, monetary and supply-side policy
 D as monetary and supply-side policy

Money supply, interest rate, Exchange rate.
Tax burden is not entirely passed, it is divided into consumer and producer burden.

- 18 A government taxes farmers \$12 per kilo when they supply food on the open market where X is the original equilibrium position.

The effect is illustrated in the diagram below.



What will be the new equilibrium price and quantity supplied as a result of the tax?

	equilibrium price (\$ per kilo)	quantity supplied (000 kilos)
A	20	40
B	25	50
C	35 ✓	30 ✓
D	40	20

- 19 The table shows taxes as percentages of Gross Domestic Product (GDP) for four countries.

From this information, which country had the ⁶lowest [?]percentage of direct taxation as a percentage of GDP?

	<u>Direct</u> income tax %	<u>Direct</u> tax on business profits %	<u>Direct</u> tax on dividends %	<u>Indirect</u> tax on goods and services %
☒ A	12	14	2 <i>28%</i>	4 <i>→ Lowest</i>
B	14	15	2 <i>31%</i>	13
C	17	8	5 <i>30%</i>	9
D	17	13	5 <i>35%</i>	9

- 20 A newspaper reports that there has been an economic slump in an economy.

What would an economist expect the immediate effect to be?

- ☒ A Production will decrease. *AD ↓, output ↓*
☐ B Saving will decrease. *Economy downturn, saving will rise*
☐ C Taxation will decrease. *It's a policy by government, can't be immediate*
☐ D The population will decrease. *Doesn't affect birth rate, death rate of migration*

- 21 How is the pattern of employment likely to change when a country becomes more developed?

- ☐ A from regular employment to seasonal employment
☒ B from rural employment to urban employment *(Read the paragraph)*
☐ C from skilled employment to manual employment
☐ D from tertiary employment to primary employment

* Rural Occupation refers to the types of work or employment primarily found in rural areas, where agriculture is usually the dominant economic activity. Rural occupations are linked to the natural environment and rural landscapes, providing the backbone for the rural economy.

- 22 In 2010 there was an increase in net emigration from Ireland.

What is most likely to have caused this increase?

- ☐ A a decrease in job security abroad *more people working in*
☐ B a decrease in wage rates abroad *same as option A*
☐ C an increase in Ireland's real GDP *same as option A.*
☒ D an increase in unemployment in Ireland *, lower wages (surplus of workers)*

$$\uparrow \text{Real GDP} = \frac{\text{Nominal GDP}}{\text{Inflation \%}}$$

23 The table shows some economic indicators.

Which increase in the first indicator is most likely to lead to an increase in the second indicator?

option c.
Inflation
X price ↑
X (Q ↓)
X (TR ↓)
Trade deficit

	first indicator	second indicator
A	<u>budget surplus</u> ↑	<u>consumer saving</u> ↓
B	<u>consumer spending</u> ↑	<u>unemployment</u> ↓
C	<u>inflation</u> ↑	<u>trade surplus</u> ↓
D	<u>productivity</u> ↑	<u>living standards</u> ↑

Budget surplus: Tax revenue exceed government spending
↓
This means higher taxes so saving can't rise (option A)
option B: C ↑, AD ↑, output ↑, unemployment ↓

Efficiency ↑, choices ↑, S.O.L ↑

24 What would be most likely to cause the population to decrease if other things remain constant?

A a decrease in the birth rate population ↓

B a decrease in the death rate population ↑

C an increase in net immigration people coming in, population ↑

D an increase in the fertility rate ↑, population

↳ Ek maa kitne bacho ko janam deti hai

* Total fertility rate represents the number of children that would be born to a woman if she were to live to the end of her childbearing years and bear children in accordance with age-specific fertility rates of the specified year.

25 Developed countries have a high and increasing proportion of their population over the age of 65.

Which economic consequence will be most likely to result from this kind of population change?

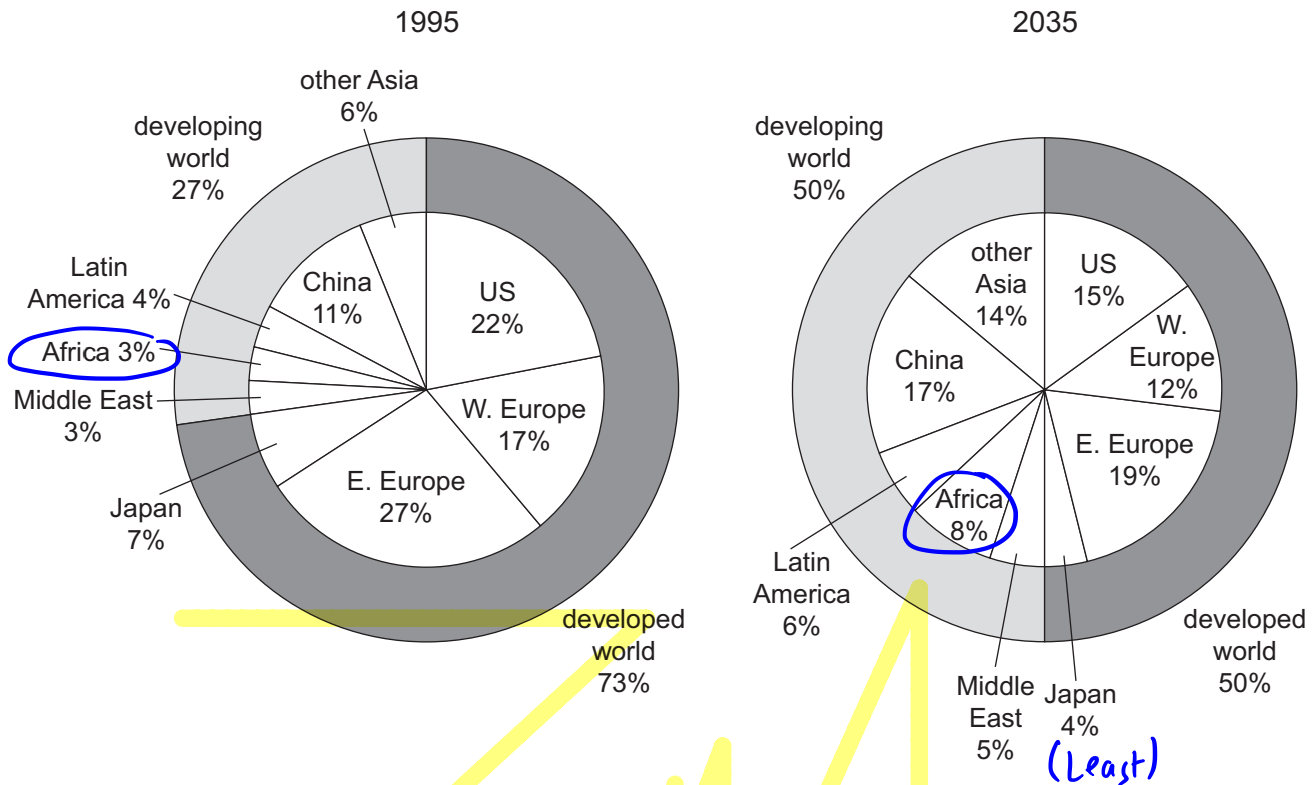
A Government transfer payments will increase. Expenditure on pensions ↑

B More facilities will be needed to retrain workers. Can't retrain old people

C There will be a rise in the economic growth rate. No, less labour force

D The total savings in the economy will increase. No, spending on health and pensions will rise.

26 The chart shows total world carbon emissions in 1995 and predicted emissions by 2035.



If the chart proves to be correct, what would have happened by 2035?

- A Africa will emit the least carbon. *Least: Japan*
- ✓ B China will cause about a third of the emissions of all developing areas shown. *17/50 = 34%*
- C Developed areas will have reduced their absolute amount of carbon emissions. *Data in %*
- D The US will have decreased its carbon emissions by a smaller percentage than Western Europe. *22% to 15% = 7%*

- 27 What encourages international specialisation? *(free trade)*
- A a foreign exchange shortage
 - B diseconomies of scale *(AFC ↑)*
 - ✓ C free trade *removal of protectionism*
 - D quotas *physical limit on the quantity of goods imported.*

- 28 A Japanese car manufacturer decided to produce its cars in a factory in Europe.

What would **not** be a reason why they might have chosen to do this?

- A cheaper wage costs in Europe *valid reason, ↓ cost*
- B the availability of raw materials *valid reason, ↓ cost*
- C to gain external economies from skilled labour in Europe *valid reason, ↓ cost*
- ✓ D to increase Japanese self-sufficiency *not a valid reason*

- 29 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A** a decrease in demand for domestic production, *no restriction on the quantity of goods imports, Demand ↓ locally.*
- B** a decrease in domestic unemployment
- C** a decrease in exports *unrelated, most likely to rise as other countries will remove protectionism too.*
- D** a decrease in the balance of trade deficit

↑ Trade deficit ↑ as imports ↑

- 30 In 2009 the exchange rate of the Singapore dollar changed from 1.49 = 1 US dollar to 1.43 Singapore dollars = 1 US dollar. *\$ dep*

How would this affect the import prices and export prices for Singapore? *(Appreciate)*

	prices paid by Singapore for imports	prices paid to Singapore for exports
A	decrease ✓	decrease
B	decrease ✓	increase ✓
C	increase	decrease
D	increase	increase ✓

x price ↑ m price ↓